

IMBALANCES

Fair Value Gaps (FVG)

DOJO GAINS - Core Pillar 3

What is a Fair Value Gap?

An FVG is a GAP created when price moves too fast

3-CANDLE FORMATION:



The GAP between:

Candle 1's HIGH and Candle 3's LOW

This gap = IMBALANCE = Entry zone

Price often RETURNS to fill this gap

INSERT: FVG Example on Chart

Bullish Fair Value Gap

- Forms during UPWARD moves
- Candle 3 LOW > Candle 1 HIGH = Gap
- Shows aggressive BUYING
- FVG acts as SUPPORT
- Enter LONG when price retraces to FVG

INSERT: Bullish FVG Trade Example

**Bullish FVG = BUY
ZONE**

Bearish Fair Value Gap

- Forms during DOWNWARD moves
- Candle 3 HIGH < Candle 1 LOW = Gap
- Shows aggressive SELLING
- FVG acts as RESISTANCE
- Enter SHORT when price retraces to FVG

to FVG

INSERT: Bearish FVG Trade Example

**Bearish FVG = SELL
ZONE**

The 50% Level (Consequent

- CE = 50% midpoint of the FVG
- This is the EQUILIBRIUM of the imbalance
- BEST entry level within the FVG
- Price often reacts precisely at CE
- Use CE as your primary entry point

50% CE = Sweet Spot Entry

How to Trade FVGs

Step-by-Step FVG Trade:

- 1** Identify the TREND direction on higher timeframe
- 2** Look for DISPLACEMENT candle creating FVG
- 3** Mark the FVG zone and 50% CE level
- 4** WAIT for price to retrace back to FVG
- 5** Enter at 50% CE with confirmation candle
- 6** Stop beyond FVG, target next liquidity

INSERT: Complete FVG Trade Example (Entry to Exit)

Key Takeaways

- FVG = Gap where price moved too fast
- 3-candle formation: Check C1 & C3 wicks
- Bullish FVG = Support (buy zone)
- Bearish FVG = Resistance (sell zone)
- 50% CE is the optimal entry level
- Wait for price to RETURN to FVG before entering

Imbalances are magnets - price comes back